Third Quarter 2013 Earnings Call

October 25, 2013

Overview

SALLI SCHWARTZ
GLOBAL HEAD OF INVESTOR RELATIONS

Agenda

1. Third Quarter 2013 Results

Raymond McDaniel, President and Chief Executive Officer

2. Financial and Operating Highlights

Linda Huber, Executive Vice President and Chief Financial Officer

3. 2013 Outlook

Raymond McDaniel, President and Chief Executive Officer

4. Q&A

Raymond McDaniel, President and Chief Executive Officer
Linda Huber, Executive Vice President and Chief Financial Officer
Michel Madelain, President and Chief Operating Officer, Moody's Investors Service
Mark Almeida, President, Moody's Analytics

Disclaimer

Certain statements contained in this presentation are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. Moody's outlook for 2013 and other forward-looking statements in this presentation are made as of October 25, 2013, and the Company disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, the current world-wide credit market disruptions and economic slowdown, which is affecting and could continue to affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including credit quality concerns, changes in interest rates and other volatility in the financial markets; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government initiatives to respond to the economic slowdown; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations, including provisions in the Dodd-Frank Wall Street Reform and Consumer Protection Act and anticipated regulations resulting from the law; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation to which the Company may be subject from time to time; provisions in the Dodd-Frank Act legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; the outcome of those legacy tax matters and legal contingencies that relate to the Company, its predecessors and their affiliated companies for which Moody's has assumed portions of the financial responsibility; the ability of the Company to successfully integrate acquired businesses; currency and foreign exchange volatility; a decline in the demand for credit risk management tools by financial institutions; and other risk factors as discussed in the Company's annual report on Form 10-K for the year ended December 31, 2012 and in other filings made by the Company from time to time with the Securities and Exchange Commission.

1. Third Quarter 2013 Results

RAYMOND MCDANIEL
PRESIDENT AND CHIEF EXECUTIVE OFFICER

Third Quarter 2013 Results and Comparison to Third Quarter 2012

Moody's Corporation

» Revenue	↑ 2% to $706 million
» Expenses	↓ 1% to $414 million
» Operating Income	↑ 8% to $292 million
» Adjusted Operating Income	↑ 7% to $315 million
» GAAP EPS	↑ 2% to $0.83 ↑ 11% from non-GAAP EPS of $0.75 in 3Q12

Year-to-Date 2013 Performance and Comparison to Year-to-Date 2012

Moody's Corporation

» Revenue	↑ 11% to $2.2 billion
– MIS	↑ 12% to $1.5 billion
– MA	↑ 8% to $657 million
» Expense	↑ 10% to $1.3 billion (includes 1Q litigation settlement charge)
» Operating Income	↑ 13% to $923 million (includes 1Q litigation settlement charge)
» Adjusted Operated Income	↑ 12% to $993 million (includes 1Q litigation settlement charge)
» GAAP EPS	↑ 14% to $2.66 (includes1Q litigation settlement charge)
» Non-GAAP EPS	↑ 23% to $2.80 (excludes1Q13 litigation settlement charge and 2012 legacy lax benefit)

2. Financial and Operating Highlights

LINDA HUBER
EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER

Third Quarter 2013 Results and Comparison to Third Quarter 2012

Moody's Corporation Revenue

» Total Global	↑ 2% at $706 million
» U.S.	↑ 3% to $391 million
» Non-U.S.	↑ 1% to $315 million • 45% of Total Global
» Relationship Revenue	↑ 9% to $376 million • 53% of Total Global

Third Quarter 2013 Results and Comparison to Third Quarter 2012

MIS Revenue by Geography

» Total MIS	↑ 1% to $478 million
» U.S.	↔ flat at $290 million
» Non-U.S.	↑ 2% to $188 million • 39% of Total MIS

Third Quarter 2013 Results and Comparison to Third Quarter 2012

MIS Revenue by Line of Business

- Corporate Finance: $233 million
  - Global ↑ 6%
  - U.S. ↔ flat
  - Non-U.S. ↑ 18%

- Structured Finance: $84 million
  - Global ↓ 10%
  - U.S. ↑ 3%
  - Non-U.S. ↓ 27%

Third Quarter 2013 Results and Comparison to Third Quarter 2012

MIS Revenue by Line of Business

- Financial Institutions: $79 million
  - Global ↓ 5%
  - U.S. ↓ 3%
  - Non-U.S. ↓ 6%

- Public, Project & Infrastructure Finance: $83 million
  - Global ↑ 7%
  - U.S. ↑ 1%
  - Non-U.S. ↑ 20%

Third Quarter 2013 Results and Comparison to Third Quarter 2012

MA Revenue by Geography

» Total MA	↑	6% to $227 million (100% of the revenue growth in MA was organic, as we have not made any recent acquisitions)
» U.S.	↑	14% to $101 million
» Non-U.S.	↔	flat $127 million • 56% of Total MA

Third Quarter 2013 Results and Comparison to Third Quarter 2012

MA Revenue by Line of Business

» RD&A: $134 million

– Global	↑	8%
– Customer retention rate		mid-90's percent range
– U.S.	↑	10%
– Non-U.S.	↑	5%

» ERS: $64 million

– Global	↑	1%
– U.S.	↑	26%
– Non-U.S.	↓	9%

Third Quarter 2013 Results and Comparison to Third Quarter 2012

MA Revenue by Line of Business

» Professional Services: $29 million

– Global	↑	10%
– U.S.	↑	21%
– Non-U.S.	↑	6%

» Subscription Revenue (inclusive of RD&A plus subscription products within ERS business)

– Global	↑	8%

Third Quarter 2013 Results and Comparison to Third Quarter 2012

Moody's Corporation

» Total Expenses	↓ 1% to $414 million
» Operating Margin	• 41.3% – up from 39.2% in 3Q12
» Adjusted Operating Margin	• 44.6% – up from 42.7% in 3Q12
» Effective Tax Rate	• 29.1% – down from 29.5% in 3Q12

Capital Allocation and Balance Sheet

» During 3Q13, repurchased 6.2 million shares at a total cost of $397 million and issued 855,000 shares under employee stock-based compensation plans

» Shares outstanding totaled 215.1 million at September 30, 2013

– Decreased 3% from September 30, 2012

» $930 million of share repurchase authority remaining as of September 30, 2013

» At September 30, 2013, Moody's had:

– $2.1 billion of outstanding debt

– $1.0 billion of additional debt capacity under revolving credit facility

– Cash, cash equivalents and short-term investments of $2.0 billion

– Approximately 58% of total cash holding were maintained outside the U.S.

» Free cash flow of $623 million for the first nine months of 2013 increased by $162 million from a year ago

3. 2013 Outlook

RAYMOND MCDANIEL
PRESIDENT AND CHIEF EXECUTIVE OFFICER

MCO 2013 Full-Year Financial Outlook

» Revenue	↑ high-single-digit % range
» Expenses	↑ mid-single-digit % range (includes 1Q litigation settlement charge)
» Operating Margin	• Between 41% and 42% (includes 1Q litigation settlement charge)
» Adjusted Operating Margin	• Between 44% and 45% (includes 1Q litigation settlement charge)
» Effective Tax Rate	• Approximately 31%
» Non-GAAP EPS	• $3.51 to $3.57 (excludes 1Q litigation settlement charge)

Refer to "Moody's Corporation Reports Results for Third Quarter 2013" press release for a full review of guidance

MCO 2013 Full-Year Financial Outlook (continued)

» Share Repurchase	• Approximately $1 billion (subject to available cash, market conditions, and other ongoing capital allocation decisions)
» Capital Expenditures	• Approximately $50 million
» Depreciation and Amortization	• Approximately $100 million
» Incremental Compliance and Regulatory Expense	• Approximately $5-10 million
» Free Cash Flow	• Approximately $850 million

Refer to “Moody’s Corporation Reports Results for Third Quarter 2013” press release for a full review of guidance

MIS 2013 Full-Year Financial Outlook

» Global	↑	high-single-digit % range
» U.S.	↑	high-single-digit % range
» Non-U.S.	↑	mid-single-digit % range
» Corporate Finance	↑	mid-teens % range
» Structured Finance	↓	low-single-digit % range
» Financial Institutions	↑	low-single-digit % range
» Public, Project & Infrastructure	↑	mid-single-digit % range

Refer to “Moody’s Corporation Reports Results for Third Quarter 2013” press release for a full review of guidance

MA 2013 Full-Year Financial Outlook

» Global	↑ high-single-digit % range
» U.S.	↑ low-double-digit % range
» Non-U.S.	↑ mid-single-digit % range
» Research, Data & Analytics	↑ high-single-digit % range
» Enterprise Risk Solutions	↑ high-single-digit % range
» Professional Services	↑ mid-single-digit % range

Refer to “Moody’s Corporation Reports Results for Third Quarter 2013” press release for a full review of guidance

4. Q&A Session

» Raymond McDaniel

President and Chief Executive Officer, Moody's Corporation

» Linda Huber

Executive Vice President and Chief Financial Officer, Moody's Corporation

» Michel Madelain

President and Chief Operating Officer, Moody's Investors Service

» Mark Almeida

President, Moody's Analytics

Replay Details

» Available from 3:30pm (Eastern Time) October 25, 2013 until 11:59pm (Eastern Time) November 23, 2013

» Telephone Details:

– U.S.	1-888-203-1112
– Non-U.S.	+1-719-457-0820
– Passcode	9395414

» Webcast Details:

– Go to http://ir.moodys.com

– Click on “Events & Presentations” featured on the left

– Click on the link for “3Q 2013 Earnings Conference Call”

Appendix

Consolidated Statements of Operations (Unaudited)

Amounts in millions, except per share amounts	Three Months Ended September 30, 2013	Three Months Ended September 30, 2012	Nine Months Ended September 30, 2013	Nine Months Ended September 30, 2012
Revenue	$ 705.5	$ 688.5	$ 2,193.3	$ 1,976.1
Expenses:				
Operating	203.5	207.3	601.4	573.4
Selling, general and administrative	187.1	187.4	599.1	515.8
Depreciation and amortization	23.4	24.1	70.1	69.7
Total expenses	**414.0**	**418.8**	**1,270.6**	**1,158.9**
Operating income	**291.5**	**269.7**	**922.7**	**817.2**
Non-operating (expense) income, net				
Interest (expense) income, net	(24.4)	(15.3)	(68.1)	(42.2)
Other non-operating (expense) income, net	(3.6)	10.0	12.9	12.6
Total non-operating (expense) income, net	(28.0)	(5.3)	(55.2)	(29.6)
Income before provision for income taxes	**263.5**	**264.4**	**867.5**	**787.6**
Provision for income taxes	76.7	77.9	261.2	249.9
Net income	186.8	186.5	606.3	537.7
Less: net income attributable to noncontrolling interests	2.9	2.6	8.5	7.8
Net income attributable to Moody's Corporation	**$ 183.9**	**$ 183.9**	**$ 597.8**	**$ 529.9**

	2013	2012	2013	2012
Earnings per share attributable to Moody's common shareholders				
Basic	$ 0.84	$ 0.83	$ 2.70	$ 2.37
Diluted	$ 0.83	$ 0.81	$ 2.66	$ 2.34
Weighted average number of shares outstanding				
Basic	217.8	222.5	221.1	223.3
Diluted	222.0	226.1	225.1	226.7

Supplemental Revenue Information
(Unaudited)

Amounts in millions	Three Months Ended September 30, 2013	Three Months Ended September 30, 2012	Nine Months Ended September 30, 2013	Nine Months Ended September 30, 2012
Moody's Investors Service				
Corporate Finance	$ 233.0	$ 220.7	$ 754.2	$ 612.7
Structured Finance	83.5	93.1	273.7	278.1
Financial Institutions	78.9	82.7	249.9	239.3
Public, Project and Infrastructure Finance	82.7	77.0	258.8	237.3
Intersegment royalty	19.6	17.8	57.5	52.4
Sub-total MIS	497.7	491.3	1,594.1	1,419.8
Eliminations	(19.6)	(17.8)	(57.5)	(52.4)
Total MIS revenue	478.1	473.5	1,536.6	1,367.4
Moody's Analytics				
Research, Data and Analytics	133.7	124.3	393.6	365.9
Enterprise Risk Solutions	64.4	64.0	177.6	163.6
Professional Services	29.3	26.7	85.5	79.2
Intersegment revenue	3.0	3.1	8.5	9.0
Sub-total MA	230.4	218.1	665.2	617.7
Eliminations	(3.0)	(3.1)	(8.5)	(9.0)
Total MA revenue	227.4	215.0	656.7	608.7
Total Moody's Corporation revenue	**$ 705.5**	**$ 688.5**	**$ 2,193.3**	**$ 1,976.1**
Moody's Corporation revenue by geographic area				
United States	$ 391.0	$ 377.9	$ 1,209.3	$ 1,069.1
International	314.5	310.6	984.0	907.0
	$ 705.5	**$ 688.5**	**$ 2,193.3**	**$ 1,976.1**

Non-Operating (Expense) Income, Net

Amounts in millions	Three Months Ended September 30, 2013		Three Months Ended September 30, 2012		Nine Months Ended September 30, 2013		Nine Months Ended September 30, 2012	
Interest (expense) / income, net:								
Expense on borrowings	**$**	**(23.9)**	$	(19.3)	**$**	**(65.4)**	$	(52.1)
Income		**1.6**		1.2		**4.0**		3.7
Legacy Tax [a]		-		4.4		-		4.4
UTPs and other tax related liabilities [b]		**(2.1)**		(1.7)		**(6.7)**		1.8
Capitalized		-		0.1		-		-
Total interest (expense) income, net	**$**	**(24.4)**	$	(15.3)	**$**	**(68.1)**	$	(42.2)
Other non-operating (expense) income, net:								
FX gain/(loss)	**$**	**(5.8)**	$	(4.8)	**$**	**6.9**	$	(6.0)
Legacy Tax [a]		-		12.8		-		12.8
Joint venture income		**2.5**		2.3		**7.4**		6.9
Other		**(0.3)**		(0.3)		**(1.4)**		(1.1)
Other non-operating income (expense), net		**(3.6)**		10.0		**12.9**		12.6
Total non-operating (expense) income, net	**$**	**(28.0)**	$	(5.3)	**$**	**(55.2)**	$	(29.6)

(a) The 2012 amounts represent favorable resolutions of Legacy Tax Matters

(b) The nine months ended September 30, 2012 amount contains a benefit of approximately $7 million related to the settlement of state and local income tax audits

Selected Consolidated Balance Sheet Data (Unaudited)

Amounts in millions	September 30, 2013	December 31, 2012
Cash and cash equivalents	$ 1,835.1	$ 1,755.4
Short-term investments	209.6	17.9
Total current assets	2,782.2	2,525.7
Non-current assets	1,372.3	1,435.2
Total assets	4,154.5	3,960.9
Total current liabilities	897.2	1,164.9
Total debt [1]	2,098.6	1,671.2
Other long-term liabilities	785.3	719.7
Total shareholders' equity	291.9	396.6
Redeemable noncontrolling interest*	81.5	72.3
Total liabilities, redeemable noncontrolling interest and shareholders' equity	4,154.5	3,960.9
Actual number of shares outstanding	215.1	223.3

* Represents a noncontrolling interest related to the November 2011 acquisition of Copal Partners

[1] Total debt consists of the following:	September 30, 2013	December 31, 2012
Series 2005-1 Notes due 2015 [a]	$ 307.3	$ 313.8
Series 2007-1 Notes due 2017	300.0	300.0
2008 Term Loan due 2013 [b]	-	63.8
2010 Senior Notes due 2020 [c]	497.7	497.4
2012 Senior Notes due 2022 [d]	496.4	496.2
2013 Senior Notes due 2024 [e]	497.2	-
Total debt [f]	$ 2,098.6	$ 1,671.2

[a] Includes a $7.3 million and $13.8 million fair value adjustment on an interest rate hedge at September 30, 2013 and December 31, 2012, respectively

[b] Final payment made in Q2 2013

[c] Represents $500 million of 5.5% publicly traded Senior Notes which mature on September 1, 2020; the notes were offered to the public at 99.374% of the face amount

[d] Represents $500 million of 4.5% publicly traded Senior Notes which mature on September 1, 2022; the notes were offered to the public at 99.218% of the face amount

[e] Represents $500 million of 4.9% publicly traded Senior Notes which mature on February 15, 2024; the notes were offered to the public at 99.431% of the face amount

[f] Of the total debt shown in the table above, $63.8 million is classified within total current liabilities at December 31, 2012, and consists of borrowings under the 2008 Term Loan

Financial Information by Segment

The table below presents revenue, adjusted operating income and operating income by reportable segment. The Company defines adjusted operating income as operating income excluding depreciation and amortization.

	Three Months Ended September 30,							
	2013				2012			
Amounts in millions	MIS	MA	Eliminations	Consolidated	MIS	MA	Eliminations	Consolidated
Revenue	$ 497.7	$ 230.4	$ (22.6)	$ 705.5	$ 491.3	$ 218.1	$ (20.9)	$ 688.5
Operating, selling, general and administrative	235.6	177.6	(22.6)	390.6	252.1	163.5	(20.9)	394.7
Adjusted operating income	262.1	52.8	-	314.9	239.2	54.6	-	293.8
Depreciation and amortization	12.1	11.3	-	23.4	11.1	13.0	-	24.1
Operating income	$ 250.0	$ 41.5	$ -	$ 291.5	$ 228.1	$ 41.6	$ -	$ 269.7
Adjusted operating margin	52.7%	22.9%		44.6%	48.7%	25.0%		42.7%
Operating margin	50.2%	18.0%		41.3%	46.4%	19.1%		39.2%

	Nine Months Ended September 30,							
	2013				2012			
	MIS	MA	Eliminations	Consolidated	MIS	MA	Eliminations	Consolidated
Revenue	$ 1,594.1	$ 665.2	$ (66.0)	$ 2,193.3	$ 1,419.8	$ 617.7	$ (61.4)	$ 1,976.1
Operating, selling, general and administrative	756.1	510.4	(66.0)	1,200.5	684.5	466.1	(61.4)	1,089.2
Adjusted operating income	838.0	154.8	-	992.8	735.3	151.6	-	886.9
Depreciation and amortization	34.9	35.2	-	70.1	33.0	36.7	-	69.7
Operating income	$ 803.1	$ 119.6	$ -	$ 922.7	$ 702.3	$ 114.9	$ -	$ 817.2
Adjusted operating margin	52.6%	23.3%		45.3%	51.8%	24.5%		44.9%
Operating margin	50.4%	18.0%		42.1%	49.5%	18.6%		41.4%

Transaction and Relationship Revenue

	Three Months Ended September 30,					
	2013			2012		
	Transaction	Relationship	Total	Transaction	Relationship	Total
Corporate Finance	70%	30%	100%	75%	25%	100%
Structured Finance	54%	46%	100%	58%	42%	100%
Financial Institutions	30%	70%	100%	37%	63%	100%
Public, Project and Infrastructure Finance	58%	42%	100%	59%	41%	100%
Total MIS	**59%**	**41%**	**100%**	62%	38%	100%
Moody's Analytics	**22%**	**78%**	**100%**	23%	77%	100%
Total Moody's Corporation	**47%**	**53%**	**100%**	50%	50%	100%

	Nine Months Ended September 30,					
	2013			2012		
	Transaction	Relationship	Total	Transaction	Relationship	Total
Corporate Finance	74%	26%	100%	73%	27%	100%
Structured Finance	58%	42%	100%	57%	43%	100%
Financial Institutions	35%	65%	100%	37%	63%	100%
Public, Project and Infrastructure Finance	61%	39%	100%	61%	39%	100%
Total MIS	**62%**	**38%**	**100%**	61%	39%	100%
Moody's Analytics	**21%**	**79%**	**100%**	21%	79%	100%
Total Moody's Corporation	**50%**	**50%**	**100%**	49%	51%	100%

Refer to "Moody's Corporation Reports Results for Third Quarter 2013" press release for table details

Non-GAAP Financial Measures

	Three Months Ended September 30,	
	2013	2012
Diluted EPS - GAAP	$ 0.83	$ 0.81
Legacy tax	-	(0.06)
Diluted EPS - Non-GAAP	$ 0.83	$ 0.75

	Nine Months Ended September 30,	
	2013	2012
Diluted EPS - GAAP	$ 2.66	$ 2.34
Impact of litigation settlement	0.14	-
Legacy tax	-	(0.06)
Diluted EPS - Non-GAAP	$ 2.80	$ 2.28

	Projected full-year ended December 31,
	2013
Diluted EPS guidance - GAAP	$ 3.37 - 3.43
Impact of litigation settlement	$ 0.14
Diluted EPS guidance - Non-GAAP	$ 3.51 - 3.57

Refer to "Moody's Corporation Reports Results for Third Quarter 2013" press release for table details

Adjusted Operating Income and Adjusted Operating Margin

	Three Months Ended September 30,		Nine Months Ended September 30,	
Amounts in millions	**2013**	**2012**	**2013**	**2012**
Operating income	$ **291.5**	$ 269.7	$ **922.7**	$ 817.2
Depreciation & amortization	**23.4**	24.1	**70.1**	69.7
Adjusted operating income	$ **314.9**	$ 293.8	$ **992.8**	$ 886.9
Operating margin	**41.3%**	39.2%	**42.1%**	41.4%
Adjusted operating margin	**44.6%**	42.7%	**45.3%**	44.9%

Refer to "Moody's Corporation Reports Results for Third Quarter 2013" press release for table details

Free Cash Flow

Amounts in millions	Nine Months Ended September 30, 2013	2012
Net cash flows from operating activities	$ **653.5**	$ 496.0
Capital additions	**(31.0)**	(35.2)
Free cash flow	$ **622.5**	$ 460.8
Net cash used in investing activities	$ **(222.8)**	$ (46.1)
Net cash (used in) provided by financing activities	$ **(343.2)**	$ 294.4

Refer to "Moody's Corporation Reports Results for Third Quarter 2013" press release for table details

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